

Higher Education and Public Good

Simon Marginson, University of Melbourne,
s.marginson@unimelb.edu.au

Abstract

Policy debate about whether to maintain public subsidies for higher education has stimulated reconsideration of the public mission of higher education institutions, especially those that provide student places conferring private benefits. If the work of higher education institutions is defined simply as the aggregation of private interests, this evaporates the rationale for higher education institutions as distinctive social foundations with multiple public and private roles. The private benefits could be produced elsewhere. If that is all there is to higher education institutions, they could follow the Tudor monasteries into oblivion. But what is 'public' in higher education institutions? What could be 'public'? What should be 'public'? The paper reviews the main notions of 'public' (public goods in economics, public understood as collective good and Habermas' public sphere) noting the contested and politicised environment in which notions of 'public' must find purchase. A turn to global public goods offers the most promising strategy for re-grounding the 'public' character of higher education.

Introduction

In 1529 the greater monasteries of England and the nearly 400 smaller monastic establishments looked very strong. They were doubly protected, by universal belief and by a multitude of material connections into English society, the economy, politics and the court. They were essential to daily life in many localities. Monasteries were centres of farming and craft production, sources of community welfare and way stations for travellers across the land. They provided valued careers for younger sons. Cathedrals loomed over the landscape. Holders of vast wealth and power, the monasteries could not be touched.

Ten years later in 1539 the bill for the confiscation of the large monasteries passed the parliament. By then they were already gone, their plate and jewellery seized by the Crown, their personnel forcibly expelled, furniture and hangings left for pillage or rot and much of the

massive stonework dismantled for local building. The smaller establishments had been dissolved by statute three years earlier (Brigden, 2002). No doubt to the surprise of some contemporaries, life went on as before. The fires of hell failed to swallow up Thomas Cromwell and Henry VIII's Inquest into the Monasteries. The King soon squandered his new wealth in an unsuccessful war in France. Like other European countries the French still had their cathedrals and religious houses but the English never brought them back. They found more modest ways to worship and believe. They created other forms of charity. Somebody with a less religious calling became the wine-maker.

It had all happened before and in a more university-like setting. In the fourth and fifth centuries Buddhism moved from India via Central Asia to China. It flourished under the Tang Dynasty that arose in the next century. Buddhism became the great moderniser across East Asia, triggering an amazing flourishing of science and technology, philosophy, scholarship and the arts. It was in effect the state religion of China. Then it turned inward, contemplating its own heart and asked the eternal question: why don't we grab more power, more status and more resources for ourselves? The Buddhist churches accumulated great wealth and property and held a monopoly of metals. In 842 the impossible happened. All foreign religions were proscribed. China went xenophobic. Nevertheless the nation gained, it seems, from its self-imposed loss of diversity. The Buddhist churches were closed, the priests and nuns defrocked, the wealth was seized and its accumulation stopped (Gernet, 1982). Learning and scholarship stopped also.

Nothing lasts forever and, every so often, nation-states and societies discover that they can live without the institutions they have inherited. When these institutions stand for nothing more, nothing deeper or more collective, no greater public good, than the aggregation of self-interest (like the monasteries in China and England, that accumulated vast social resources but came to exist only for themselves and those who used them) then the institutions are vulnerable. Self-interest can be channelled in other ways. The institutions disappear and their functions are picked up elsewhere.

Universities are not monasteries, not exactly; and arguably higher education has never been as ubiquitous in modern societies as it is today, **in an age of mass education and innovation-driven economies**. Yet it is replaceable. Other agencies could issue certificates for work, for a fee. Research could be run from corporate or government laboratories. Scholars and humanists could be sent back to private life to finance their activities themselves. Students who want real knowledge could buy

e-books. The cultural and critical functions of universities could be left to the media and the Internet. New ideas could be sourced from civil society, the business world and the communicative space, as they were in seventeenth and eighteenth century Europe and they are from the Internet today. What greater good would be lost if universities closed? But if higher education is emptied out of common public purpose its long-term survival is uncertain.

Of course the existence and form of such public purposes and benefits is contested, both in the world of interpretations and the world of practices. The nature of higher education is policy-determined; and while limited by its forms of production these are themselves open to politically-driven change. In other words, the public character of higher education is not so much a function of the timeless character of universities but grounded in social practices. Higher education institutions are more or less 'public' and 'private' according to the policy and funding configuration chosen for them. In turn, that configuration always rests on one or another philosophical position.

One extreme position, nevertheless influential in current policy, is that of methodological individualism (Lukes, 1973). For the methodological individualist the collective or social character of higher education institutions is nothing more or less than the mathematical sum of the private benefits that they provide. There are no common or relational benefits of higher education that condition, precede or succeed those private individual benefits and extend beyond their sum. If such a premise is adopted, and corresponding policies are implemented, there is every danger the collective benefits of higher education could be so weakened over time as to decisively wither any argument for the common funding of higher education institutions to secure such joint objectives.

If we are not methodological individualists and if we want to maintain distinctive higher education institutions, they need a foundational public purpose—one that is more than a marketing slogan; and one grounded in more than the survival of the university for its own sake, or the survival of students or knowledge or learning for their own sakes. This purpose must be consistent with the essential character of higher education.

The essential antinomy

Since their beginnings universities and university-like institutions have rested on an antinomy of two heterogeneous elements. Both elements are essential. The first element is place-bound identity, locality. Universities are embedded in communities, cities and nations and, in Europe, in a global region. The second element is universal-mobile knowledge. Uni-

versities are soaked in transmitting, studying and creating knowledge and part of a larger network of institutions that do this; a network that has always been international. Knowledge is the unique claim of higher education. It is at the core of every public and private good that is created in the sector. Nonetheless, the knowledge functions in themselves are not enough to embed the institutions in locality. Higher education needs a rationale that grounds its continuing knowledge-related functions in real locality: a rationale that binds together the two parts of its foundational antinomy. This rationale must embody deeply felt common values. So it all turns on: (1) what we mean by public good and public goods; (2) how these are secured and enhanced.

The article

The UK government's December 2010 decision to withdraw public subsidies from tuition in the humanities and social sciences showed how precarious the public role of higher education has become. This policy change was the logical culmination of the 1980s neo-liberal agenda. When the great majority or the only benefits of higher education are defined as private economic enrichment, the rationale for public good activity vanishes, along with the public funding that supports it (except in basic research). Practice then follows ideology. Higher education institutions held in the public mind to be factories for producing private status goods and private knowledge goods come to focus largely on those functions alone. Increasingly, universities that come to see themselves as private firms catering for other private economic interests will embrace the producer/consumer mindset. The December 2010 changes summon an urgent renewal of 'public', if it is not to vanish altogether.

But what *is* 'public' in universities? What *could be* 'public' about them? What *should be* 'public' about them?

When defined in solely ideological terms public/private might appear clear and simple; for example the traditional socialist notion of 'public' as the state equated with the universal interest, or a neo-liberal notion of 'private' nested in individual freedom from state intervention. Nevertheless, more than ideology is entailed. There is also more to 'public' higher education than 'not private', or 'non-market', or state-owned institutions, or state-sourced financing. A more generative approach to 'public' is to think about it as a function of the social or political effects of higher education; for example its contribution to the agency of each self-determining citizen within a common society. Some such public purposes can be achieved in privately-owned institutions, just as certain private benefits (such as the income earning power of medical degrees)

can be created in state-owned institutions. Nevertheless, on the whole publicly-owned institutions are more open than are private institutions to democratic policy intervention and are more likely to pursue a **collective agenda** (Marginson, 2007).

This article does some conceptual spadework in relation to 'publicness' in higher education in national and global settings, with a view to helping to open the discussion. The first part canvasses the different notions of public goods (plural), *the* public good (singular) and the public sphere. The second part considers the conditions under which 'public' is practiced, including the other imaginaries that shape higher education and the politics of the sector. The term 'imaginaries' is used here in the sense of Taylor (2004), to refer to a constellation of ideas, images and material and discursive practices that in combination tends to construct social relations and outcomes. The third part considers 'how public is higher education?' Without a consensus on 'public' and the necessary empirical data, answers are preliminary. The final part considers how a democratic publicness might be advanced.

The paper cannot do full justice to the relevant literatures in political philosophy, political economy, global sociology and comparative higher education studies (further discussion in Marginson, 2006a, 2007, 2011).

What is 'public' in higher education?

The notion of 'public goods' (plural) derives from economics and is objectivist and empirical in form. The distinction between public and private, articulated by Samuelson (1954), is grounded in the character of the goods as produced and distributed. The notion of the 'public good' (singular) is more normative, more collective in orientation, eclectic and the subject of many literatures and claims. The specific notion of the 'public sphere' was first discussed by Habermas (1989) as a form of civil and communicative association in eighteenth century England.

Public goods (plural)

Samuelson defines public goods as non-rivalrous and non-excludable. (The term 'goods' is used generically to refer to all production, including benefits that are intangible/ non-corporeal, such as educational services). Goods are non-rivalrous when they can be consumed by any number of people without being depleted, for example knowledge of a mathematical theorem. Goods are non-excludable when the benefits cannot be confined to individual buyers, such as social tolerance, or law and order. Few

goods are both fully non-rivalrous and fully non-excludable but many have one or other quality in part or full. Goods with neither quality are classified as fully private goods.

In common with most card-carrying members of the American economic profession, Samuelson has a *prima facie* bias in favour of economic markets. He sees goods as open to private ownership and full market production unless they have special qualities that prevent this. Public and part-public goods are a residual concept, goods under-provided in markets. It is unprofitable to pay for goods that can be acquired free as the result of someone else's purchase and unprofitable to make goods available for no cost. Hence there is a case for state or philanthropic financing of public goods, and possibly also provision, to ensure the desired quantity: though 'the desired quantity' raises normative issues. How much and what kind of educational equality is desired? How much social resources should be allocated to these objectives, given other objectives?

Public goods can take individual or collective forms. An example of a collective good is clean air, or an education system that provides equality of opportunity. An example of an individual good is the externalities created when a newly educated worker enters the workplace. The worker's educated attributes (knowledge and skills) may spill over to other workers who did not contribute to the cost of the education, helping to enhance their productivity and thereby augment the economic returns to the firm. 'Human capital' can become embodied in public as well as private goods. Likewise, Sen (2000) noted that human 'capabilities' contribute to both individual and collective goods.

Arguably, the most important public goods produced in higher education are universal knowledge and information. Knowledge is almost a pure public good, as Stiglitz (1999) noted. Once disseminated, after the moment of initial creation, it becomes non-rivalrous (though particular artefacts embodying knowledge can be rivalrous and excludable). Thus, basic research is government funded. Knowledge is also a global public good. The mathematical theorem retains its value all over the world no matter how many times it is used. Kaul *et al.* (1999) defined global public goods thus:

Global public goods are goods that have a significant element of non-rivalry and/or non-excludability *and* made broadly available across populations on a global scale. They affect more than one group of countries, are broadly available within countries, and are inter-generational; that is, they meet needs in the present generation without jeopardizing future generations (Kaul *et al.*, 1999, pp. 2–3).

Universal knowledge and human mobility are synonymous in their reach across the world. Both are possessed in common, in networked relations. Often they are possessed by the same people. They are not possessed by all persons. Knowledge and ease of mobility have always been largely monopolised by social and scholarly élites. Modernisation expands the circle of beneficiaries, a process quickened by global convergence. This is the democratising potential of globalisation and global higher education: reflexive human agency spreads outwards within a thickening world society.

Nevertheless, in policy and political debate, public goods as conceived by Samuelson are open to contestation. Though knowledge or global ecology or common global language can be understood as public goods, there is more than one possible knowledge or ecology or universal language. The fact that knowledge, in the technical economic sense, is a global public good does not exhaust questions of content and value, such as ‘whose public good?’ and ‘in whose interests?’ There is also the question of the extent to which the processes of producing, disseminating and assigning value to knowledge encourage diverse approaches; or whether knowledge that aspires to a universal role is monocultural, hegemonic and universalising; that is, tending to dominate and exclude other knowledge. Arguably, fostering of diversity of knowledge is a global public good. Yet paradoxically, standardisation is also a global public good, to the extent it helps all to communicate and share a common information system (Marginson, 2010c). In nations with academic cultures in, say, Spanish or Arabic, globalisation generates both global public goods *and* negative global externalities or ‘public bads’ (Kaul *et al.*, 1999)—it leads to richer cross-border exchange but encourages the displacement of work in the traditional scholarly language by work in English—unless there are broad two-way flows between the national and global domains (Marginson and Ordorika, 2011).

Global knowledge goods like research rest on a larger systemic context that is communicative, collaborative and collective. Perhaps this is easier to grasp using the notion of public good (singular) rather than public goods (plural).

The public good (singular)

The more normative concept of ‘the public good’ (Calhoun, 1998; Mansbridge, 1998) brings such choices into the open. It tends to emphasise joint or collective activities and benefits, or a resource accessible to use by all, like the medieval commons (Powell and Clemens, 1998). Though notions of inexhaustible natural resources make less sense than

they did, non-corporeal resources like knowledge *are* inexhaustible. In social democracy the common public good is associated with democratic forms, openness, transparency, popular sovereignty and grass-roots agency. This is not the only extant interpretation. 'Public good' is assumption driven and prone to ambiguity. In pro-capitalist discourse the general benefit is achieved by the unrestricted operation of Smith's (1776) invisible hand of the market. The accumulation of profit, free from interference, drives the prosperity of all. Yet in socialist discourse the general benefit or public good is secured by statist regulation, the opposite of an unregulated capitalist market.

Public good (singular) is more often linked to higher education than public goods (plural). At best, public good ties universities into a larger process of democratisation and human development. At worst it is joined to empty self-marketing claims about the social benefits of education or research with no attempt to define, identify or measure the alleged benefits. As with public goods (plural), the questions 'whose public good?' and 'in whose interests?' arise. Nevertheless, most notions of public good refer to broadly-based interests, whether pursued democratically, or by surrogate as when someone claims to represent the public interest on behalf of the public. It is also expected that public good is widespread if not universal. For example, it is widely felt that public higher education should be open, egalitarian and accountable to the larger community beyond higher education.

A key issue here is how external accountability is manifest in higher education. Governments operate on behalf of the community, as they and others may see it, but also have their own interests and agendas. The question of external accountability cannot be subsumed in state control. Privileged 'stakeholders', such as employers or occupational societies, can secure a voice in curriculum or professional registration. Some outsiders are elected to governing bodies. A problem here is to establish mechanisms that genuinely empower local communities. It is hard for non-professionals to share control over expert functions such as research.

The public sphere

In *The Structural Transformation of the Public Sphere* (1989) Habermas described the public dimension of discussion, criticism, debate and opinion formation in 18th century England. This was the network of homes, salons, coffee shops, inns of court, counting houses and semi-government agencies: the places where people met and opinions were formed and communicated on the matters of the day. This was princi-

pally in London, extending to the universities and the country houses of the well to do. The Habermasian public sphere sustained a capacity for criticism independent of the state, and often directed towards it, while throwing up strategic options for the state to consider, contributing to its ongoing reform and renewal. It was a space of freedom episodically connected to power (Habermas, 1989, p. 41 and 51). At one remove, this notion of the public sphere is suggestive in relation to the university (Calhoun, 1992, 2006; Pusser, 2006).

Habermas did not draw the link. He saw the public sphere as degenerate in the 20th century, the heyday of the university. Nevertheless, there are suggestive parallels between the university and the Habermasian public sphere. Habermas' public sphere provided for non-violent social integration based on discourse rather than power or money, like the university today. Information and education enable the public to reach not just a common but also a considered opinion (Calhoun, 1992, p. 6, 14 and 29–30). At best the university, like the public sphere, is a semi-independent site for criticism and renewal of the state; though the state is not always listening. The rational-critical function of the bourgeois public sphere foundered because it could not sustain both homogeneity and openness. The university has a lesser requirement for homogeneity of values. It does not necessarily face the trade-off between critical capacity and scale. Universities have a notable capacity to hold in a bounded heterogeneity. Some contain much diversity of world-view, location, interest, project and discipline.

One way to conceive the public dimension in higher education is to imagine the sector as an umbrella public sphere sheltering projects that pertain to the public good (singular) and more narrowly defined public goods (plural). Most such public functions are associated with the university's roles in knowledge, learning and discourse. Habermas' own focus on communicative relations points in this same direction. Pusser (2006) imagined the university as public sphere as an institutional space for reasoned argument and contending values. Higher education has been a principal medium for successive transformations: the civil rights movement, 1960s–1970s student power and grass-roots democracy, 1970s feminism, gay liberation, anti-nuclear and pro-ecology movements and the 1990s–2000s anti-globalisation protests against global injustice, corporate power and violations of national sovereignty. This suggests that one test of the university as a public sphere is the extent to which it provides space for criticism and challenge. Another test is how widespread is social criticism in practice. Not all academic freedoms generate new ideas. Academic staff may opt instead for the comfortable life.

Another approach is to conceive of the public sphere not as the university itself but as the communicative civil order spanning all social sectors. This communicative civil order intersects with government and markets but is larger than each (though it does not reach everyone) and not reducible to either. In networked modern societies the communicative order is largely structured by the media, electronic conversation and shared sites and projects; successors to the town hall meetings of the past. This imagining of the public sphere is compatible with the normative notion of the public good (singular) as the conditions of active democracy. It must be added that this kind of public sphere is less egalitarian than some other democratic forms. Like many political parties, the media is open to capture by companies, vested interests and shrill voices articulating those interests. (Note that online media are less captured than TV or newspapers). Despite the potential for capture, at best this kind of public sphere, or civil society, fosters the creativity, criticism, discussion and debate essential to active democracy. It does so beyond the bounds of the nation-state. It is a source of the continual renewal of nations and one of the wellsprings of global society and future global governance. Within this larger public sphere, higher education institutions offer conversation and ideas. So they must communicate effectively. Indeed, the communicative role of the university is highlighted in both of the above interpretations of Habermas' notion of the public sphere.

Can the university act as a public sphere, or contribute to a large public sphere? At best its organisational culture is that of Habermas' public sphere. The argument is carried by the merits of the case not the identity of the arguer; and the university rests on 'a kind of social intercourse that, far from presupposing the equality of status, disregarded status altogether'. The university replaces 'the celebration of rank' with the 'parity of common humanity' (Habermas, 1989, p. 36). From time to time there are flat collegial relations in academic and student circles. However, the university is not always at its best in these ways. This failing, if failing it is, is not simply a problem of commercial capture (Bok, 2003) or managerialism. The university's potential for flat discursive association is also undermined by the necessities of expertise (Calhoun, 2006) and by status differentiation in the hierarchical university field.

Conditions of 'public' higher education

Public good/goods in higher education do not emerge in a vacuum but under specific conditions that enable and limit what can be achieved.

Public higher education must be slotted into a landscape already occupied by established ways of imagining and practising higher education. It is also subject to politics.

Three imaginaries

Research literature and interviews with university presidents (Marginson, 2011) suggest there are three imaginaries widely known inside and outside the sector. These three imaginaries are associated with differing concepts, differing fields of social science and differing political, economic and social interests. There are tensions between the three imaginaries. They also have a long history of co-existence. Together they shape the sense of the possible in higher education.

The first imaginary is the idea of higher education as an economic market: education and research as products, higher education as national economic competition, universities as business firms, the WTO-GATS vision of a one-world free trade zone in learning and intellectual property. Higher education is seen as a system for producing and distributing economic values and for augmenting value created in other sectors. (The relation between higher education as a revenue-creating economic actor and as handmaiden of capital elsewhere, is never clear). The underlying intellectual ideas are human capital theory (Becker, 1964) and production function economics. There is more than one economic imaginary. The critique of 'academic capitalism' (Slaughter and Rhoades, 2004) rests not on neo-classical economics but on critical political economy, emancipation and social justice. Carnoy (1974) models global education as economic imperialism and resistance. However, these ideas are not dominant. Global capitalism provides the leading modernising imaginary of the last two centuries. Mainstream thought about higher education is led by neo-liberalism, a political programme couched in neo-classical economic language, which emphasises the market economy (Naidoo, 2010; Rizvi and Lingard, 2010). Neo-liberalism is strong in higher education policy in both the capitalist West and socialist China (Wang, 2009). Everywhere it dominates state blueprints for higher education reform.

The second imaginary has older roots. This is higher education as a field of status ranking and competition. Status is ubiquitous, especially in research universities. Higher education produces and allocates social positions, 'positional goods' (Hirsch, 1976; Marginson, 2006b) or 'status goods' (Frank and Cook, 1995). Here the supporting intellectual ideas are the sociology of status and positional goods and screening theory in economics (Blaug, 1970). Older symbols of status are integral to hier-

archical academic affairs, with their medieval forms of public display. Status also positions universities in relation to each other. Unlike commercial markets, university status ladders are conservative, reproducing much the same pecking order from generation to generation. At the same time few in higher education, however meritocratic or modernist in temper, are untouched by the power of status to secure assent, define identity and compel action. Institutions display status conspicuously and continually, in the ancient form of gothic buildings, the modern form of science facilities and research outputs and the corporate form of websites and global partnerships (Marginson, 2010a). Status competition overlaps with the economic market. Success in one helps success in the other. Nevertheless, in research universities, the desire for status outweighs the desire for money. Resources are a necessary but not sufficient condition for the real objective: the timeless power and prestige of the university as an end in itself.

The third imaginary is the networked and potentially more egalitarian university world patterned by communications, collegiality, linkages, partnerships and global consortia. This imaginary was always part of higher education but has gained ground in the last twenty years, the era of global communications. It has intellectual support in sociological theorisations of the information society (for example, Castells, 2000) and actor network theory (Latour, 2005). The network imaginary embodies permanent collaboration. It has an egalitarian, inclusive economic logic: as the network expands, each member receives ever-increasing benefits, tending to global universality. In 2008, two thirds of citations were international (NSB, 2010, p. 5.40) and a third of papers had international co-authors. Networks can be annexed to competitive strategies. They are used to build status. They are configured vertically as well as horizontally ('networking up'). Some are closed to broader connections and foster the interests of members on an exclusive basis. Universities are like sibling rivals, collaborating and competing with the same institutions; but openness makes best use of the form.

The same knowledge is capable of many permutations and uses. It is never finally confined or privately controlled, though in use it may become exhausted or superseded. Weightless hyper-abundant knowledge is scarcely compatible with any economy of scarcity and bounded control. Though there is more potential for commercial science in biotechnology and pharmaceuticals than elsewhere (Bok, 2003) these can also be annexed for the public good, for example in poor nations where commercial medicines are out of reach. Likewise open-source knowledge is both compatible and incompatible with status competition. Flat rela-

tions mediated by knowledge sharing tend to subvert status competition and hierarchy. Yet while status goods are private goods, public-good research plays a key role in defining the hierarchy of institutions, reproducing the status of their degrees and maintaining their revenue flows. Research performance measured as publications, citations, revenues and doctoral numbers plays the first part in status rankings. Like all mass media the Internet is a formidable engine for building status. In return, the hierarchy of universities decides which parcels of knowledge carry the most authority and value (Marginson, 2009). Knowledge flows and networks fit better to the ancient status hierarchy than the modern economic market.

Politics of higher education

The other condition of public goods in higher education is that higher education is soaked in politics. Like the monasteries until their dissolution, **higher education is valued and contested**. People use it to secure advantage. Some do so in organised ways. Politics continually shapes the production of both public and private goods. The way public goods are organised, recognised and disseminated becomes part of their contents; and the organisation of public goods is shaped by the coalitions and constituencies with a stake in them. The political process is essential to public good(s) but an imperfect instrument for realising them. It does not always recognise collective benefits created in higher education, such as advanced scientific literacy. When such benefits are not embedded in active constituencies they are invisible, undefended and underfunded.

In political debate there is much confusion about the nature of public goods and the distinction between public and private goods. One example is the politics of access. Data on social group inequality in participation measure higher education's contribution to equitable opportunity. This function is broadly, though not universally, seen as a public good mission. However, the driver of the intense focus on social access, selection and affirmative action is *not* necessarily, and perhaps not primarily, a common interest in equitable opportunity. What makes many in the media and elsewhere excited is that selection and access shape the distribution of private goods, in the form of scarce places in sought-after universities, goods that create status closures that exclude the majority of citizens. (This is not to say broader social ideals are always absent from the discussion). Here the policy goal that reconciles the public good (singular) of equitable opportunity with desires for private goods (plural) can be summed up as 'the fair allocation of private

goods'. Note that this assumes social competition for entry can be so organised as to function in the collective interest.

Sen (2009) identified two distinct approaches to social justice: based on notions of 'fairness' and 'inclusion' respectively. Prescriptions based on fairness generate a different student mix to prescriptions based on inclusion. Under some circumstances the two are compatible. During rapid growth in student numbers both are readily advanced. The share of enrolments of under-represented groups can be lifted without displacing absolute numbers from other groups. Organisation for Economic Cooperation and Development country history suggests that while universities readily advance inclusion, it is much more difficult to make permanent gains in the share of places (OECD, 2008), though countries are more successful with gender. As Bourdieu (1984) pointed out, competitive systems always favour persons from socio-economic status groups with the best resources with which to compete. 'The fair allocation of private goods' in higher education is a chimera, a fiction, unachievable. Unless, as often happens, fairness is watered down so as to judge as fair whatever unequal result is thrown up by competition. In the same manner we judge the outcome of a sporting contest *post hoc* as 'fair', when we really mean 'it is an accomplished fact'.

This brutish notion of fairness mostly prevails in higher education. It confers on competition for entry into higher education, and the university rankings attached to this competition, a public good veneer they would otherwise lack. This merely legitimates the unequal allocation of private goods. The public good created here is not social equity, it is social order and stability of a conservative kind. The consent given to the illusion of fairness in educational competition avoids an open violent struggle for social position in the manner of, say, the late Roman Republic. The price of social peace is that unequal access to both public and private goods in higher education is made acceptable and is allowed to happen on a vast scale with only muted criticism.

Competition is better at creating private goods than public goods. Smith never argued the invisible hand of the market created an optimal society. His point was that it created another common good, economic prosperity. This had to be modified by factoring in sociability and justice. Hence *The Theory of Moral Sentiments* (1759) explained the affective ties between persons and *The Wealth of Nations*' (1776) advocated state intervention in education, though confining the argument for state support to schooling rather than universities. Arguably, advocates of equity in higher education spend too much energy trying to create the chimera of a fair competition over private goods. It is the competitive

order itself that should be tackled, particularly the way status differentials in higher education undermine the commons. The neighbourhood becomes fairer in higher education when the main game is not winner-take-all and, instead, is the production of shared and collective benefits.

How ‘public’ is higher education?

Market competition and status hierarchy are predisposed to private goods in Samuelson’s sense. Networks and knowledge constitute public goods but these can be annexed to private goods and purposes. Given these operating conditions, how ‘public’ is higher education? At bottom this is an empirical question. To answer the question it is necessary to devise means of measuring particular aspects of ‘public’ and then of making complex synthetic judgments about the incidence and degree of ‘publicness’. The answer also varies according to whether it is higher education and public goods (plural), the public good (singular), or the public sphere.

The public good and public sphere can only be apprehended by synthetic judgment. There are valuable studies of the quantitative public benefits of higher education (McMahon, 2009). However, at this stage, the measures are either too partial, or schematic wholes that leave out too much. The larger historical effects of higher education elude empirical definition. The literature also begs the question of whether the public and private benefits of higher education should be understood as zero sum (so the more private benefits are produced the less public benefit are produced) or positive sum (it is possible to expand both private and public benefits simultaneously), or the conditions under which one or another relation applies.

In relation to public goods (plural), research differs somewhat from teaching.

Research

It has been argued that research is non-rivalrous and thrives in open information settings (OECD, 2008). The great growth of Internet publishing constitutes an advance in its public character (Webometrics, 2010). Research is a public good that enables other public goods and private goods to be produced. Some will say, ‘But what of knowledge subject to commercial property arrangements such as copyrights and patents? Isn’t that knowledge as private goods?’ Knowledge goods become temporarily excludable when the legal regulation of intellectual property is imposed. Nevertheless, knowledge goods are *naturally* excludable only between the time they are created and the time they are first communicated. The creator or producer of the knowledge enjoys a

first mover advantage, in that she/he can decide how best to exploit the knowledge commercially before anyone else has seen it. This first mover advantage is the only viable basis for a commercial intellectual property regime. The advantage diminishes to vanishing point when commercial knowledge goods circulate and become non-excludable. Often their use value remains constant while their exchange value tends towards zero.

Copyright is not just difficult to police. It is violated at every turn and ultimately impossible to enforce. In China the reward for academic publishing is not commercial royalties but enhanced status as a scholar. National publishing markets pay little more than lip service to American copyright régimes. In India, the dissemination of digital goods is led by low-cost free market copying. These approaches, which are both pre-capitalist and post-capitalist are more closely fitted to the nature of knowledge than is the capitalist market in intellectual property.

Teaching

Teaching can be a predominantly public good, or a predominantly private good, depending on which aspects of teaching and learning are uppermost in its social organisation. Teaching and learning contain public good aspects: the knowledge learnt; general education unrewarded in labour markets that contributes to a shared knowledge base; education understood as a citizen entitlement to the common culture and to social opportunity; and the contribution of higher education to social tolerance and international understanding. Teaching and learning also carry private good aspects: scarce credentials, from exclusive higher education institutions, providing entry to income-generating professions. The programme of study is a public good, readily disseminated outside the learning site. MIT acknowledged this by placing its courseware on the Internet. This did not impair the private value of MIT degrees, which derives not from content *per se* but from graduate networking, cultural capital and, above all, positional power.

Higher education distributes private benefits of unequal value even in institutions that are state-owned and free of tuition charges and hence nominally 'public'. The highest-value private goods are allocated by exclusive research universities, whether these are in the private or public sector. The mix of, and balance between, public and private goods is determined by a complex of factors, including policy, funding, curricula, the hierarchy of institutions and the structures of social and economic rewards. University degrees can be more or less private: more or less exclusive, more or less income and status forming. The best conditions for allocating socially powerful opportunities (such as places in medi-

cine) on a public good basis (such as academic merit system or social equity) are provided by egalitarian higher education systems in which status and resources are relatively flat and relations between institutions governed by cooperation and a managed division of labour.

Because degrees as private goods are subject to economic scarcity and their production and consumption are subject to competition (students compete for access to status goods, universities compete for good students and for status leadership), the production of these private goods is readily turned into an administered neo-liberal quasi-market. The economic market secures partial purchase. The ease with which the 1950s–1970s global trend to free education and labour planning was displaced by the 1980s–1990s global trend to marketisation and student choice, despite resistance, underlines the mixed potentials of teaching in higher education. Teaching is nicely poised between public and private purposes.

Thus, the trend to market competition is not simply due to neo-liberal ideology and state cost-cutting. There is always potential for teaching markets in élite research-intensive higher education; more so because in capitalist societies the dominant players have a predilection for market forms. Markets foster social inequities, restrict access to public knowledge goods, distort the academic vocation and breed self-centred and less public universities. In the first instance, the correctives to markets and the potential for evading them in part or full, are in the hands of states. Nation-states, though, are habitually implicated in the marketisation project, more so in the present era of neo-liberal policy, in which government-created and regulated markets are one of the central forms.

Fortunately, the marketisation project is never completed. The two big global economic ideas in higher education, prosecuted by neo-liberal policy makers, were the WTO-GATS single trading environment, to be secured by national competition reforms, and the world as a network of commercial e-Universities offering virtual education. Both failed. Nor have the economic reform programmes in national systems created fully commercial markets in tuition except in marginal areas. In research policy there has been a swing away from hyper-commercialisation and a renewed interest in open science. Why has the economic imaginary faltered? WTO-GATS agenda and the e-U's were produced by mainstream business management thought, which is yet to grasp higher education. The e-U's failed to realise that while knowledge is mobile and lends itself to globalisation, the university is also context-bound. Its founding antinomy (locality joined to mobility, embeddedness joined to universality) remains essential to it. The WTO-GATS vision lacked purchase because the world is not one single political economy and because

learning includes knowledge. This ensures an irreducibly public component; unless knowledge content becomes irrelevant and only the diploma matters ('diploma mills').

At global level the scope for marketisation of higher education tends to weaken. Quasi-markets, regulated competitive systems, can be implemented only by states. However, there is no global state. Meanwhile knowledge and information flow freely without state interference; and status competition, which predates the modern nation state and national political economy, also crosses borders with ease. The status and network imaginaries frame themselves without the need for a state.

A democratic practice of 'public'

The Western democratic tradition is primarily a liberal tradition. All forms of liberalism struggle to understand the common and collective aspects of the public good except as the sum of realised individual benefits, or as a spill over from individualised transactions. Nodding towards methodological individualism in which the individual is prior to the social, liberalism fails to value the collective imagination as an end in itself. The liberal individual grasps only those aspects of the social that stray within the circle of his or her autarkic worldview. (Confucian notions have a more developed understanding of higher education as a social project). Arguably, it is impossible to derive from Hayek's (1960) classical statement of liberal theory an understanding of 'public', and the contributions of universities to democracy, without unduly restricting the scope of freedoms. From time to time, liberal cultures incubate modes of 'public', as Habermas noted in relation to the eighteenth century public sphere, but only up to a point. At best, such forms are a preparation for something better. The strength of liberalism is its promise to give each person dignity and the freedom to create. The promise does not always work out. The mutuality of freedom, its relational social condition, remains hidden.

This might suggest it is necessary to turn to social democracy to enlarge 'public': even while looking beyond social democracy to a more global approach (Marginson, 2010b). Notwithstanding the successive socialist internationals, social democracy often lapses into a nation-bound view of the world, where mass social democratic politics gains most ready purchase. Too often its global imagination is weak. Social democracy defines the public good in higher education in emancipatory terms. Equality means equality of respect and shared access to human freedoms. The freedoms of one are mutually dependent with the freedoms of all. These freedoms are enlarged by the evolution of the self-determining capacities (individual and collective) of all. This requires

both the negative and positive conditions of agency freedom (Sen, 1985). This means freedom from constraints such as state interference in universities and freedom to act, including the means to act.

Because of its capacity to form self-altering agents (Castoriadis, 1987, p. 372) and to foster critical intellectual reflexivities, and its wonderful easy fecundity in the formation of inter-personal relationships across traditional social and cultural boundaries, public higher education can be potent in building advanced democratic forms. This is recognised in some national policy traditions, such as those of Mexico and Argentina (Mollis, 1999–2000; Ordorika, 2003), and was manifest in the global chain of transformative student protests in the late 1960s (SDS, 1962). Above all, higher education can make solidarity practical by tackling common human problems such as climate change and epidemic disease on a collaborative basis. These problems are not solved overnight. The public good in higher education is historical and never exhausted by immediate outcomes. Though we cannot anticipate all future uses of the university, ongoing higher education capacity must be ready for them. To maximise its forward potential, public higher education should be a space for free creativity and heterogeneous projects; both for their own sake and because some of the projects of today are prototypes for the solutions of tomorrow.

Conclusions

What are the next steps and what are the obstacles? There is no road-map here. In China Dong Xiaoping called it ‘crossing the river by feeling the stones’ (Jacques, 2009, p. 154).

The first conclusion may surprise. The larger enemy of the public good and public sphere is not the economic market but the status hierarchy. The public character of United States’ higher education is stymied by the annual *US News and World Report* exercise. The play of university self-interest weakens public-good mechanisms such as needs-based aid. Now, global rankings have caught all universities, all over the world, in the same status-incentive trap. Status competition plays out not only between universities but between national systems. It ranks them vertically on the world scale and confirms the dominance of the comprehensive Anglo-American science university. This guarantees the favoured nations more than their share of private goods. It also narrows the diversity of knowledge that secures global value, through which public goods are created. Despite neo-liberalism, the economic market has not taken over the sector but **status competition**, which conditions

partial commodification, restricts the flow of public benefits and splinters the common interest, has moved in everywhere.

Second, the antidote to status competition, one that creates space for the global public good to evolve, is the third imaginary, the communicative world of flat networks and collegial relations, which lends itself to open, democratic collaborative forms and gives authority to knowledge from anywhere.

Third, we must break our imagined dependence on states as the source of the collective, of global public good(s). Because knowledge lends itself to global flows, **in a knowledge-intensive age research universities are important creators of global goods**, though this is under-recognised. The global public space lies mostly outside direct governance, in collaborative networks, non-government organisations and cyber-space, where **higher education is helping to build the future global society**. We need to break out of the iron-bound national-level struggles over public good and private interest in higher education. Nationally, the economic market and status competition have locked down the common good and it is difficult to move on 'public'. **Global public good(s) might enable higher education to break out of these limitations**. Potentially, it has deep and wide political appeal. If it builds momentum, the objective of maximising global public good(s) can cut across the capture of higher education by private interests. It has the potential to shift the terms of debate and policy.

Accordingly, the communicative aspect of universities are now centrally important to the evolution of their public character, more so in the global dimension (Marginson, 2010b, forthcoming). Many universities are good at the one-way broadcast of self-interest, in the manner familiar to capitalist societies. Though most universities neglect two-way flows and flat dialogue, they have the technologies and discursive resources to conduct plural, de-centred conversations. If so the university needs to more explicitly value its own contributions to public debate and policy formation; and in its incentive systems to favour not just the creators of saleable intellectual property but socially communicative faculty.

It would be trite to underplay the difficulties. The university, as or in the public sphere, calls up a new kind of institution and a challenging double act. The problem is to both recover **autonomy** from state-driven and market-driven heteronomy (persuading government to free the university from the intrusive steering mechanisms introduced in the last generation) *and* reconfigure the university in a larger democratic setting. It is a tall order. Nevertheless, that is a symptom of the malaise, not a sign

it cannot be overcome. Higher education has lost rationale and needs to re-ground itself in the social. It will need to find the way to make visible global public goods, if it is not to follow the monasteries into oblivion.

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